	S&P 500	European Index	Pacific Rim Index
1985	32.2	75.1	30.3
1986	18.5	42.7	74.1
1987	5.2	13.4	23.7
1988	16.8	15.4	33.0
1989	31.5	26.9	8.9
1990	–3.2	–1.0	–23.1
1991	30.6	14.7	22.9
1992	7.7	–3.6	–7.1
1993	10.0	29.5	53.1
1994	1.3	2.4	3.8
1995	37.4	22.6	7.1
1996	23.1	23.9	2.8
1997	33.4	21.8	–27.2
1998	28.6	24.5	–0.5
1999	21.0	19.2	52.5
2000	–9.1	–10.1	–21.6
2001	–11.9	–18.8	–19.4
2002	–22.1	–17.2	–7.9
2003	28.7	39.0	41.6
2004	10.9	21.7	22.8
2005	4.9	10.4	20.2
2006	15.8	34.6	19.7
2007	5.5	12.3	13.8
2008	–37.0	–47.3	–39.6
2009	26.5	35.8	24.2

Allocating assets across these three regions has been a good strategy. It created a better risk-adjusted return than having only U.S. equities. Figure 4-2 shows a risk-and-return diagram for U.S. stocks and international stocks using 10 percent increments, starting with no international stocks on the left side and ending with only international stocks on the right side. The international index I used is split evenly between the Pacific Rim and Europe, rebalanced annually. The international composite index dates back to 1973.

The interesting points in Figure 4-2 are at the two ends and at a 30 percent international position and 70 percent international position. The